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Hard Futures

FUND III — MARS

Venture capital has never been this concentrated

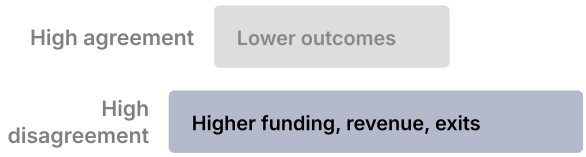
In 2025 it got worse. A dozen firms raised over **half** of all venture capital.

> *We basically take venture risk for PE returns. I do not think any of those funds will perform as well as anyone hopes.*
>
> Head of Allocations, Vanderbilt University Endowment

Source: PitchBook-NVCA 2024; Crunchbase 2025

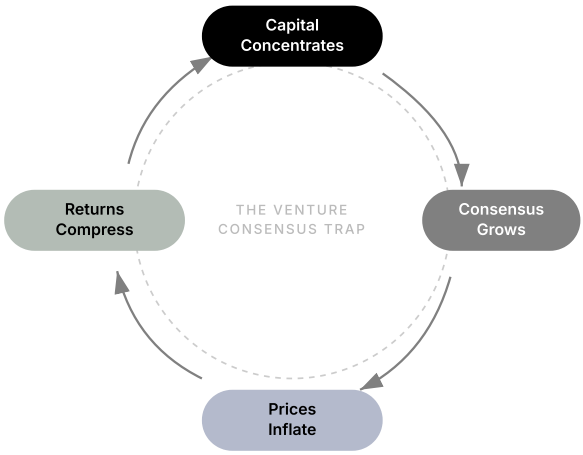
Concentration breeds consensus and compresses returns

MIT 2024: Disagreement predicts success

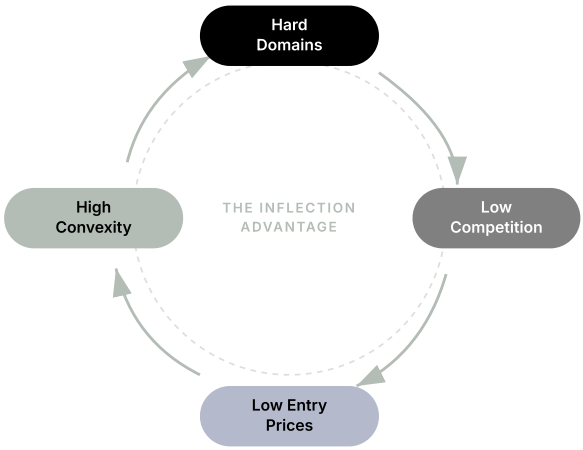


Unique ideas spark disagreement.
Common ideas spark consensus.
The industry concentrates capital into what everyone agrees on.

Strategy Science, 2024. 67 venture competitions, 2011-2020.



Contrarian investing in hard domains drives returns



The difficulty is not a risk factor.

The difficulty is the alpha.

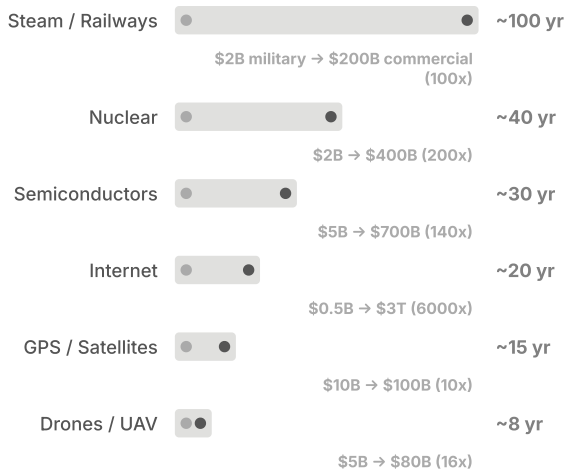
Hard domains filter out tourist capital.
Founders cannot drive up valuations
in a multi-term-sheet auction.
Low entry prices create asymmetric upside.

> *"You guys went repeatedly into territory that is immensely painful. That will be rewarded."*
> Manuel Grossmann, Armino Collective

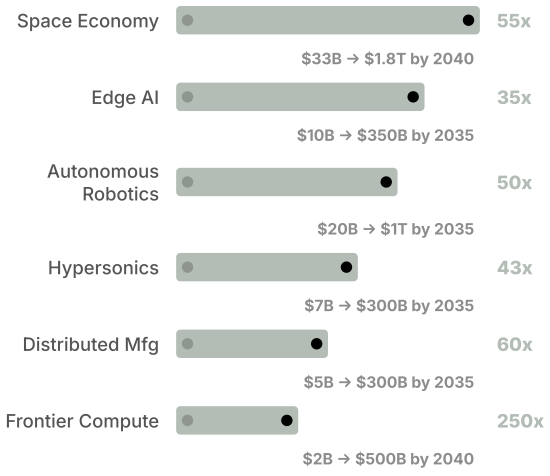
The hard futures opportunity

EUR 900B in sovereignty spending is a catalyst. The far larger opportunity is the **commercial innovation** it accelerates.

HISTORICAL: MILITARY TO CIVIL DIFFUSION



NOW: DIFFUSION LAG APPROACHING ZERO



The diffusion lag from military invention to commercial market has collapsed from **centuries** to **decades** to **years**. Fund III invests at the moment this lag approaches zero - where defense procurement creates the first customers and commercial scale follows within the fund lifecycle.

Market sizing: McKinsey, Morgan Stanley, Teal Group, Grand View Research. Diffusion timelines from historical technology transfer literature.

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We invest in hard futures at pre-seed where few can follow

[image]

Radical

Perpetual flight - stratospheric platforms at 20km altitude

[image]

Deep Earth

Geospatial AI mapping the earth's subsurface

[image]

Foundational

Space laser ranging for ultra-precise geodetic data

[image]

Fabric

Custom silicon for encrypted computation and edge AI

[image]

Ubitium

Universal processor for any AI workload at the edge

[image]

Hedy

Network invisibility in contested environments

[image]

NAD

Modular air defence - Europe's Iron Dome

[image]

Ark

Autonomous fleet control for drones and robots

[image]

Levtek

General-purpose industrial robots for blue-collar workers

[image]

Lodestar

Bodyguard satellites - robotic protection of orbital assets

Physically hard to reach
Stratosphere. Orbit. Underground. Contested zones.

Technically hard to build
Years of deep engineering before first unit ships.

Psychologically hard to fund
No playbooks. No Gartner TAM. Dies in committee.

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We systematically invest before the market

2019

Depressed crypto.
Nobody looking.

BTC at $3k
ETH at $200
Centrifuge $30M post
Anytype $5M post
Molecule $5M post

→

Crypto rally 2021
Positions 10-50x

→

8x
TVPI
3x
DPI (cash returned)

2022

Ukraine invasion.
EU sovereignty wake-up.

Radical 2023
Ubitium 2023
Ark 2024
Hedy 2024
NAD 2025

→

EUR 800B+ committed
SAFE disbursements 2026
65% EU content rule

→

TBD
Procurement wave arriving

2x cycles, same pattern. We invest when it is hard. The market catches up.
We can do it again.

We enter at prices that create convexity

COMPANY	DOMAIN	POSITION	ENTRY VALUATION	OWNERSHIP	CURRENT / TERM SHEET	MULTIPLE	STATUS
Hedy	Network security	$1.25M entry $750k follow-on	$9.8M post	~14.6%	$40M post	4.1x	Closing
Ark	Drone + robot fleet control	$1.5M entry $750k follow-on	$21.5M post	~8.1%	$65M post	3.0x	Closed
Hanseatic	Maritime intelligence	[size] entry	$25M post	[X]%	$60M post	2.4x	Term sheet
NAD	Modular air defence	[size] entry	$25M post	[X]%	$56M+	2.2x	Equity imminent
Levtek	Industrial robots	$1.2M entry	$12.25M post	~9.8%	-	-	Deployed
Radical	Stratospheric flight	[size] entry	$17.5M post	[X]%	-	-	Raising Mar
Foundational	Space laser ranging	[size] entry	$17M post	[X]%	$25M post	1.5x	Closed
Ubitium	Universal edge processor	$1.1M entry	$14M post	~7.9%	-	-	Deployed
Lodestar	Satellite servicing	$1M entry $750k follow-on	$16M post	~10.0%	-	-	Raising Mar
Deep Earth	Subsurface AI	$500k entry $500k follow-on	$9.5M post	~7.8%	$20M post (est.)	2.1x	Deployed
Fabric	Encrypted silicon	[size] entry	[X]M post	[X]%	-	-	Deployed

WTD AVG ENTRY VALUATION

$[X]M

Across all 26 Fund II positions

Five markups between 1.5x and 4.1x. None reflected in the reported 0.95x TVPI.
Not because we negotiated harder. Because we were there before anyone else was looking.

We build portfolios as systems

Sense
Planetary Intelligence

Radical	Stratosphere
Deep Earth	Subsurface
Foundational	Space

→

Compute
Sovereign Compute

Fabric	Encrypted silicon
Ubitium	Edge AI
Hedy	Network stealth

→

Act
Autonomous Machines

NAD	Air defence
Ark	Fleet control
Levtek	Industrial robots
Lodestar	Orbital servicing

Intelligence feeds compute → Compute drives machines → The portfolio is a closed loop

The portfolio is highly synergetic. We never back competing companies.

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Built through seven years of compounding conviction

We are engineers, operators and investors by training. We have been through hardship and are **as resilient as our founders**. We collaborate since 2019 (some of us since the 1990s).

INVESTMENT TEAM

[photo]

Alexander Lange
Founding GP

Law + Econ; **top 5%**; KAS fellow (top 1%). Google, fintech. 5y at Index Ventures + Earlybird. **Raised $40M as Solo GP through a pandemic.**

[photo]

Jonatan Luther-Bergquist
GP

Engineering Physicist, UU/EPFL/TUM. **Top 1% in SWE** aptitude tests. Published researcher. 3y building product for UN (500k users). 2y BCG, IT architecture for European utilities.

ENGINEERING

[photo]

Alexander Patow
Engineering

Mechanical engineer, BU. 4y leading SWE teams at Accenture. 4y at EQT / Motherbrain; founding member data analytics team. Board member Stockholm AI. **Built Inflection's entire tech stack.**

OPERATIONS

[photo]

[Name]
[Role]

[photo]

[Name]
[Role]

[photo]

[Name]
[Role]

Index Ventures Earlybird Google TUM BCG EPFL EQT

Two machines to punch above our weight

DEALFLOW + PORTFOLIO PLATFORM

Matter... / EDTH

We co-founded a platform that runs hackathons in defence, energy, future of computing, aerospace, bio - with a media arm. Beyond dealflow: engineering hires, BD, procurement access, portfolio support. We do not wait for deal flow. We create it.

[image]

25	100s	5+
Hackathons / year	Founders scouted	Domains covered

OPERATIONS ENGINE

CAVI

Computer Aided Venture Investing. Automated deal flow scoring, portfolio monitoring, and LP reporting. Three people running what most funds need nine for.

[image]

3	9	3x
Team members	Equivalent headcount	Leverage ratio

Direct pipeline into exactly our domains. No cold outreach. No spray and pray.

Our numbers - the good, the bad, the ugly

FUND I

$1.1M | 2019 vintage

8.0x **3.0x** DPI

TVPI | Cash returned

Proof of concept. Pandemic cut fundraise from $10M to $1.1M. Selection engine validated. 5 of 12 positions drove returns.

FUND II

$40M | 2022 vintage

0.95x

TVPI (most conservative basis)

Below water. Reported on most aggressive write-downs, most conservative markups. No SAFE uplifts. The slope matters, not the snapshot.

The slope behind 0.95x - markups not yet in reported TVPI

Hedy	Ark	Hanseatic	NAD	Foundational
$9.8M → $40M	$21.5M → $65M	$25M → $60M	$25M → $56M+	$17M → $25M
4.1x	**3.0x**	**2.4x**	**2.2x**	**1.5x**

a16z founders (Isomer, Hutt Capital, JT Esquibel) saw these numbers and recommitted to Fund III. Partners at General Catalyst, Point Nine, Earlybird, and Crane also committed personally to Fund II.

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Fund III - Mars

$50M
Target fund size

24
Target positions

6-10x
Target return multiple

10y
Fund life cycle

4y invest period | Harvest | 2+2y extension

CAPITAL ALLOCATION

80% Initial investments | **20% Follow-on**

FIRST CLOSE - MID 2025

$6M committed

Isomer, Hutt Capital, JT Esquibel (a16z founders), Christian Reber

FINAL CLOSE

December 2026

TERMS

20% carry | 2% mgmt fee p.a.

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What you need to believe

1. Hard domains produce better returns than consensus domains. Difficulty filters competition and compresses entry prices.

2. European frontier tech is a multi-decade structural shift, not a political cycle.

3. A small, thematic team with 7 years of consistency outperforms a large platform deploying across twenty sectors.

Our fundraising period ends on December 31, 2026.

References

WHAT FOUNDERS AND LPS SAY

> *"You guys went repeatedly into territory that is immensely painful. That will be rewarded."*
> Manuel Grossmann, Armino Collective

> *"[Placeholder: founder quote about conviction or value-add]"*
> [Founder Name], [Company]

> *"[Placeholder: LP quote about differentiation]"*
> [LP Name], [Organization]

> *"[Placeholder: founder quote about support quality]"*
> [Founder Name], [Company]

> *"[Placeholder: portfolio founder on strategic access]"*
> [Founder Name], [Company]

LPS AND BACKERS

Isomer Capital · Hutt Capital · JT Esquibel · Christian Reber · General Catalyst · Point Nine · Earlybird · Crane

SELECTED WRITING AND MEDIA

Heresy and the Venture Industrial Complex
Why non-consensus investing produces better returns

Europe's New Defense - The Investment Thesis
EUR 900B in sovereignty spending and deep tech

Depth vs Breadth in Venture Capital
Why thematic focus beats generalist deployment

The Anatomy of Inflections
Identifying phase transitions before consensus

Matter.../EDTH - Building the Ecosystem
Hackathons and media across defense, energy, aerospace

The Sovereign Compute Stack
Why Europe needs its own hardware-software supply chain

Why We Back First-Time Founders
Conviction-driven investing at the earliest stage

[Placeholder: podcast or panel appearance]
Discussion on European deep tech investing

[Placeholder: media feature or interview]
Profile on Inflection's contrarian thesis

[Placeholder: EUVC or conference talk]
Keynote on sovereign infrastructure investing

inflection.xyz/blog

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Conviction, not conformity. Curiosity, not playbooks. We reclaim venture's origins to power a European renaissance.